- There are no limitations for Bhutan with respect to other countries, but it cannot use its territory for activities against India's security threat.

3. **India-Bhutan Trade And Transit Agreement (1972):** It provides for duty-free transit of Bhutanese exports to third countries.

- **Treaty of Cooperation in Hydropower and Protocol (2006)**: Under this, India has agreed to assist Royal government of Bhutan in developing a minimum of 10,000 MW of hydropower and import the surplus electricity from this to India by the year 2020.

Areas of cooperation

Hydropower Cooperation

- India has constructed three hydroelectric projects (HEPs) in Bhutan totaling 1416 MW.
- Hydropower exports provide more than 40% of Bhutan's domestic revenues and constitute 25% of its GDP.
- Presently, there are three Inter-Government(IG) model is under construction.

Security Cooperation

- Both the countries have conducted joint military operation against insurgents. The most notable was in 2004 when the Royal Bhutanese army conducted operations against ULFA (United Liberation Front of Assam).

Diplomatic Cooperation

- Regular visits between highest level Government functionaries of both the countries have become a tradition. For example, in 2014, our Prime Minister chose Bhutan as his first country to visit after getting elected.
- India sends foreign service officers to Bhutan to maintain good diplomatic relations.
- Bhutan is a founding member of the South Asian Association for Regional Cooperation (SAARC). It is also a member of BIMSTEC, World Bank, the IMF, Group of 77 and others.

Economic Cooperation



- Bhutanese currency is Ngultrum (Nu.) and is officially pegged to the Indian Rupee (Rs.).
- India remains the single largest trading partner of Bhutan.
- In 2016 a new trade agreement was signed. This agreement aims at cutting down the documentation related to trade and establishing additional trading points in Bhutan.
- India also offers duty free transit to Bhutan for trade with third countries.

Educational and Cultural cooperation

- Many Bhutanese students pursue under-graduate courses in Indian universities on self-financing basis.
- India-Bhutan foundation was established in 2003 for improving people to people cooperation in the areas of culture, education and environment protection.

Gross Nations Happiness 

The fourth King of Bhutan King Jigme Singye Wangchuck coined the phrase "Gross Nations Happiness" in 1972 and declared that is more important than GDP.

Areas of Contentions

- The Motor Vehicles Agreement that was signed in 2015 involving Bangladesh, Bhutan, India and Nepal (BBIN) was blocked by Bhutan's upper house citing environmental concerns.

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